

War in Iran Hits Home: Modi Urges Indians to Skip Gold, Foreign Travel

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The ripple effects of the US-Israeli war on Iran have reached the jewelry shops and airport lounges of India. Prime Minister Narendra Modi is asking his country to tighten its belt, urging citizens to forgo gold purchases, cancel international trips, and revive pandemic-era work-from-home habits for at least a year. The reason: a dramatic surge in global energy prices that is draining India's **foreign exchange reserves**.

Speaking at a public event in Hyderabad on Sunday, Modi framed the sacrifices as a patriotic duty. "In the current situation, we must place great emphasis on saving foreign exchange," he said. India's reserves a crucial cushion for paying for imports have fallen from \$728.5 billion on February 27, the day before the war began, to \$690.69 billion as of May 1. That's a drop of nearly \$38 billion in just over two months.

The conflict has upended global energy markets. Iran's early attacks on Gulf oil and gas facilities, combined with its restriction of the **Strait of Hormuza** narrow waterway through which 20% of the world's oil previously flowed have sent crude prices soaring. **Brent crude**, the international benchmark, has jumped from \$72.87 per barrel on February 27 to \$105.45, a nearly 50% increase. The US naval blockade on Iranian ports, announced in April, has further choked supplies.

For ordinary Indians, the pain is tangible. Airlines have hiked ticket prices; the average international airfare from the US to all destinations hit \$1,101 in late April, up 16% from a year earlier. Fertilizer costs are also spiking because nearly half the world's traded **urea**, a key fertilizer, is exported through the **Strait of Hormuz**. Modi asked farmers to cut fertilizer use by up to half.

Modi's call echoes the **austerity** of the COVID-19 pandemic, when lockdowns forced a global shift to remote work. He urged Indians to move meetings online and avoid physical gatherings to reduce fuel consumption. "Patriotism is not only about the willingness to sacrifice one's life on the border," he said. "In these times, it is about living responsibly and fulfilling our duties to the nation in our daily lives."

The International Monetary Fund projects India's **current account deficit** the gap between what it spends and earns abroad will hit \$84 billion in 2026, underscoring the urgency. For a nation that is the world's second-largest gold consumer, Modi's plea to skip the precious metal is a stark signal of the economic storm gathering beyond its shores.

Word Treasure

foreign exchange reserves -- A country's savings of foreign currencies, used to pay for imports and keep the economy stable.

current account deficit -- The gap between what a nation spends on foreign goods and services and what it earns from abroad.

Strait of Hormuz -- A narrow sea passage through which a large share of the world's oil is shipped.

- Brent crude** -- A global standard for oil prices, used to set the cost of many barrels of oil.
- austerity** -- A period when people and governments cut back spending sharply to save money.
- urea** -- A chemical compound that is a key ingredient in fertilizer, vital for growing crops.

Background you need

The Strait of Hormuz (a 21-mile-wide channel between Iran and Oman) has been a global flashpoint for decades; during the 1973 oil embargo it became a symbol of energy vulnerability.

India, the world's second-largest gold consumer, traditionally imports huge amounts of the metal for festivals and weddings, making a prime minister's plea to skip gold an extraordinary economic signal.

The International Monetary Fund (a global financial watchdog that lends to struggling economies) often warns countries about reserves -- the savings a nation needs to buy essentials like oil.

Brent crude (named after the Brent oilfield in the North Sea) is the benchmark used for about two-thirds of the world's oil trades, so a 50% spike affects everything from airplane fuel to food transport.

Urea fertilizer, mainly produced from natural gas, requires huge amounts of energy; when oil prices jump, fertilizer costs rise in tandem, hurting farmers worldwide.

Break it down

LEAD: The economic shockwaves of the US-Israeli war on Iran are hurting ordinary Indians through higher prices.

+ HOOK: Modi asks citizens to give up gold, foreign travel, and office meetings.

CAUSE: Iran's attacks on Gulf oil facilities and its restriction of the Strait of Hormuz choked global fuel supplies.

+ EVIDENCE: Brent crude jumped from \$72.87 to \$105.45 per barrel (nearly 50% increase).

+ RESULT: India's foreign exchange reserves fell by \$38 billion in two months.

IMPACT ON ORDINARY LIFE

+ AIR TRAVEL: International airfares up 16%.

+ AGRICULTURE: Fertilizer prices soaring because urea exports depend on the Strait.

+ PATRIOTISM: Modi frames personal cutbacks as a national duty, echoing COVID-19 austerity.

BROADER PICTURE: IMF projects an \$84 billion current account deficit in 2026, underlining the gravity of the crisis.

Why it matters

This story shows how a conflict thousands of miles away can suddenly raise the price of food, travel, and even gold in your own country, and how leaders sometimes ask for personal sacrifices to protect the national economy.

Test what you remember

1. What caused India's foreign exchange reserves to drop by nearly \$38 billion?
 - (A) A rise in gold prices
 - (B) A surge in global energy prices
 - (C) A decrease in exports
 - (D) A new tax system
2. How much did the price of Brent crude oil increase from February 27 to late April?
 - (A) About 20%
 - (B) About 50%
 - (C) About 75%
 - (D) About 100%
3. What did Modi urge farmers to do as part of the austerity measures?
 - (A) Stop buying tractors
 - (B) Reduce fertilizer use by up to half
 - (C) Increase rice exports
 - (D) Plant fewer crops
4. According to the article, which waterway was restricted by Iran, impacting global fuel supplies?
 - (A) The Suez Canal
 - (B) The Panama Canal
 - (C) The Strait of Hormuz
 - (D) The Bab el-Mandeb
5. What pandemic-era habit did Modi ask Indians to revive?
 - (A) Washing hands every hour
 - (B) Skipping breakfast
 - (C) Working from home
 - (D) Socially distancing in parks
6. What is the International Monetary Fund's projection for India's current account deficit in 2026?
 - (A) \$38 billion
 - (B) \$728 billion
 - (C) \$84 billion
 - (D) \$690 billion

Answer key (try the quiz first!): 1: B 2: B 3: B 4: C 5: C 6: C

Questions to think about

- 1. Positive / National-interest:** Modi's call is a necessary patriotic move to save foreign exchange and shield the economy from a currency crisis. If citizens cooperate, India could avoid a balance-of-payments emergency and stabilize prices.
- 2. Negative / Ordinary hardship:** For millions of families, skipping gold means giving up cultural traditions like weddings, while farmers cutting fertilizer could reduce harvests and raise food prices. The burden falls hardest on those already struggling.
- 3. Neutral / Systemic pattern:** This is not the first time an oil shock has forced an import-dependent nation into sudden austerity. The 1973 oil crisis caused similar belt-tightening across the developed world, and India's reliance on energy imports makes it structurally vulnerable.
- 4. Forward-looking / What next?:** If the conflict persists or oil prices stay high, India may need to seek alternative trade routes, invest in renewable energy faster, or change its gold-import policies permanently. The crisis could accelerate a longer-term shift away from fossil fuel dependence.

MY THOUGHTS (at least 20 words):